25PSCV02461 25PSCV02461

County: los-angeles

Division: Civil Law and Motion

Department: H

Hearing date: 2026-06-29

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=EA%20%2CH%2C06%2F29%2F2026

Source SHA-256: 9a04282cf88418935d3e8a31b5bed56e21cc75f8decc50ae5378703bd1cc009e

Case Number: 25PSCV02461 Hearing Date: June 29, 2026 Dept: H

Ryjov v. Williams,
et al., Case
No. 25PSCV02461

ORDER ON
DEMURRER

Defendant Larry Williams' demurrer is OVERRULED in part (i.e., as to the first and sixth causes of action) and SUSTAINED without leave to amend in part (i.e., as to the second, fifth, and seventh causes of action). Defendants Larry Williams and Larry Wheels, LLC's demurrer to the third and fourth causes of action is SUSTAINED without leave to amend.

Background

Plaintiff Daniel Ryjov ("Plaintiff") alleges as follows:

On May 17, 2023, Plaintiff entered into a written investment agreement ("Contract") with Larry Wheels, LLC ("Company"), whereby Plaintiff invested $50,000.00 in exchange for a 3% ownership interest in PRLifestyle.com, a subsidiary of Company. Larry Williams ("Williams") is the majority shareholder of Company. Pursuant to the Contract, Plaintiff was entitled to receive 3% of the net profits of PRLifestyle.com on a monthly basis and 3% of the proceeds from any future sale of PRLifestyle.com. Between May 2023 and approximately November 2023, Plaintiff received monthly payments from Company consistent with the Contract. After November 2023, Company ceased making the required monthly payments to Plaintiff, without justification or notice, and despite repeated demands from Plaintiff to resume payment.

On March 26, 2026, Plaintiff filed a Third Amended Complaint ("TAC"), asserting causes of action against Williams and Company for: (1) Breach of Contract, (2) Breach of Implied Covenant of Good Faith and Fair Dealing, (3) Fraud and Deceit, (4) Negligent Misrepresentation, (5) Conversion, (6) Accounting, and (7) Securities Fraud (California Corporations Code §§ 25401, 25501).

A Case Management Conference is set for July 8, 2026.

Legal Standard

A demurrer may be made on the grounds that, inter alia, the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

"A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905 [citations omitted].) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) "[A] demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction placed on an instrument pleaded therein, or facts impossible in law, or allegations contrary to facts of which a court may take judicial knowledge." (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 [citations omitted].)

Discussion

Williams and Company demur to the third and fourth causes of action in Plaintiff's TAC, on the basis that they both fail to state facts sufficient to constitute causes of action. Williams also demurs to the first, second, and fifth through seventh causes of action on this basis.

Alter Ego Allegations

Williams demurs to the first through seventh causes of action on the grounds that the alter ego allegations are conclusory and devoid of factual support. To plead alter ego, there must be factual allegations that would establish "a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist," such as the commingling of funds, inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers, as well as "an inequitable result if the acts in question are treated as those of the corporation alone." (Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538.) Plaintiff is required "to allege only ultimate rather than evidentiary facts" to plead alter ego and survive demurrer. (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 236.) Further, "less particularity . . . is required where the defendant may be assumed to possess knowledge of the facts at least equal, if not superior, to that possessed by the plaintiff." (Id. [quotations and citation omitted].)

Plaintiff has alleged that "Williams exercised complete domination and control over the Company, including but not limited to financial decision-making, management, and the use of company funds for personal purposes" and that the Company "was inadequately capitalized, failed to observe corporate formalities, and . . . operated as a mere shell and instrumentality for Mr. Williams's personal benefit." (TAC, ¶ 7.) The Court determines that the foregoing allegations are sufficient to overcome demurrer.

Second Cause of Action (i.e., Breach of Implied Covenant of Good Faith and Fair Dealing)

Williams separately demurs to the second cause of action on the basis that it stems from the same allegations as his first cause of action for breach of contract. The Court agrees. "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated.” (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1395.)

Here, the first and second causes of action allege the same conduct—failure to make payments and failure to furnish financial information—and seek the same damages. (TAC, ¶¶ 21, 25-28 and 29-32.) The Court sustains Williams’ demurrer to the second cause of action on this basis.

Third and Fourth Causes of Action (i.e., Fraud and Deceit and Negligent Misrepresentation, Respectively)

Williams and Company both demur to the third and fourth causes of action. “The essential allegations of an action for fraud are a misrepresentation, knowledge of its falsity, intent to defraud, justifiable reliance, and resulting damage.” (Roberts v. Ball, Hunt, Hart, Brown & Baerwitz (1976) 57 Cal.App.3d 104, 109.) “The elements of negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.” (Apollo Capital Fund, LLC v. Roth Capital Partners, LLC (2007) 158 Cal.App.4th 226, 243.)

“Fraud must be pleaded with specificity . . . To withstand a demurrer, the facts constituting every element of the fraud must be alleged with particularity, and the claim cannot be salvaged by references to the general policy favoring the liberal construction of pleadings.” (Goldrich v. Natural Y Surgical Specialties, Inc. (1994) 25 Cal.App.4th 772, 782 [emphasis in original].) “This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73 [quotations and citations omitted; emphasis in original].) “The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Likewise,
"[e]ach element in a cause of action for. . . negligent misrepresentation must be factually and specifically alleged." (Cadlo v. Owens-Illinois, Inc. (2004) 125 Cal.App.4th 513, 519 [citation omitted].)

The Court observes that the "Factual Allegations Common to All Causes of Action" set forth in Paragraphs 12-23 of the TAC are identical to those set forth in Paragraphs 12-23 of the SAC, even after the Court sustained Company's demurrer to the third and fourth causes of action, on the basis that "Plaintiff has not alleged any facts that his funds were not "used exclusively towards PRLifestyle.com." The purported text message to Silver does not indicate otherwise. Additionally, Plaintiff has identified other purported representations made by Williams on page 5 of his opposition, which are not set forth in the SAC. Plaintiff has also failed to identify damages proximately resulting from the alleged misrepresentation."

Further,
Williams points out that "[t]o be actionable, a negligent misrepresentation must ordinarily be as to past or existing material facts. Predictions as to future events, or statements as to future action by some third party, are deemed opinions, and not actionable fraud." (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 158 [internal quotations and citations omitted].) Here, Williams' purported representations that Plaintiff "would receive recurring monthly distributions tied to profits" and that "Plaintiff would be able to verify profits and distributions through financial information" concern future conduct. (TAC, ¶ 34.) The Court does not consider this argument as to Company because, while Company raised same in its demurrer to Plaintiff's Second Amended Complaint, it was not included in Company's demurrer to Plaintiff's First Amended Complaint. Code of Civil Procedure section 430.41, subdivision (b) provides that "[a] party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer."

The

Court sustains Company and Williams' demurrer to the third and fourth causes of action.

Fifth Cause of Action (i.e., Conversion)

Williams separately demurs to the fifth cause of action on the basis that Plaintiff has not identified a specific, identifiable sum of money in which Plaintiff had an immediate possessory interest. The Court agrees. Plaintiff has alleged that "Defendants' refusal to remit the specific funds due to [him] under the terms of the Contract constitutes conversion." (TAC, ¶ 52.) However, "[t]he simple failure to pay money owed does not constitute conversion. A cause of action for conversion of money can be stated only where a defendant interferes with the plaintiff's possessory interest in a specific, identifiable sum." (Kim v. Westmoore Partners, Inc. (2011) 201 Cal.App.4th 267, 284.)

The Court sustains Williams' demurrer to the fifth cause of action.

Sixth Cause of Action (i.e., Accounting)

Williams asserts that Plaintiff has failed to plead a cause of action for accounting against him, claiming that an "accounting is unavailable without a fiduciary relationship." (Demurrer, 11:16-17.) The Court disagrees. "A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting." (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179). In fact, "a fiduciary relationship between the parties is not required to state a cause of action for accounting." (Id.)

Williams next asserts that this is not a "complex mutual ledger of mutual dealings requiring equitable intervention." (Dem., 12:4-5.) Williams' position, however, appears contradicted by Plaintiff's previous allegation that he was advised that the Company "could not produce financial documents for 2023 and therefore could not calculate or issue payments." (TAC, ¶ 19.)

The Court overrules
Williams' demurrer to the sixth cause of action.

Seventh
Cause of Action (i.e., Securities Fraud (California Corporations Code §§ 25401, 25501)

Williams
demurs to the seventh cause of action on the basis that Plaintiff has not pled that he offered or sold anything in his individual capacity. The Court, however, has determined that Plaintiff has adequately pled alter ego. That said, Plaintiff has not pled "any written or oral communication that includes an untrue statement of a material fact or omits to state a material fact necessary to make the statements made, in the light of the circumstances under which the statements were made, not misleading." (Corp. Code, § 25401.)

The
Court sustains Williams' demurrer to the seventh cause of action.